India's Textile Export to the European Union-Impact Of New Trade Deal

ABSTRACT

The textile and apparel sector forms the backbone of India's manufacturing economy and export structure. The European Union (EU) stands as one of India's most important export destinations, particularly for textiles, garments, and home furnishing products. In January 2026, India and the European Union concluded a landmark Free Trade Agreement (FTA), which is expected to significantly enhance bilateral trade flows. This project analyses the impact of the India–EU trade deal on India's textile exports.

The study examines India's textile industry structure, the importance of the EU as a trading partner, composition of textile exports, tariff and non-tariff barriers, and expected economic impacts. It also connects trade outcomes with classical and modern theories of international trade such as comparative advantage, Heckscher–Ohlin model, trade creation, and global value chains. Further, the study explores the benefits, challenges, and long-term implications of the agreement for Indian exporters. The project concludes that the India–EU FTA represents a strategic opportunity to boost India's export growth, employment generation, MSME expansion, and integration into global markets.

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INTRODUCTION

International trade has emerged as a powerful engine of economic growth in the modern globalized world. Countries engage in trade to achieve specialization, efficiency, economies of scale, and higher standards of living. Through trade liberalization, reduction in tariffs, and expansion of global markets, nations are able to enhance productivity, promote industrial growth, and strengthen economic integration.

India, as a rapidly growing developing economy, has increasingly integrated itself into the global trading system, particularly after the economic reforms initiated in 1991. Policies aimed at liberalization, export promotion, and trade facilitation have significantly expanded India's participation in international markets. As a result, exports have become a key driver of economic growth, employment generation, and foreign exchange earnings.

Among the many sectors contributing to India's exports, the textile and apparel industry occupies a central position. It is one of the oldest industries in India and remains the largest employment-generating sector after agriculture, providing livelihoods to over 45 million people. The sector contributes substantially to industrial production and export earnings and plays a crucial role in promoting inclusive and regionally balanced development.

The European Union (EU), comprising 27 member countries, represents one of the largest and most affluent consumer markets in the world. The EU has consistently remained one of India's most important trading partners, particularly for textiles, garments, and home furnishings. High demand for quality and competitively priced textile products makes the EU a strategic destination for Indian exporters.

The signing of the India–EU Free Trade Agreement (FTA) in January 2026 marks a historic milestone in bilateral trade relations. After more than two decades of negotiations, this agreement aims to reduce tariffs, remove non-tariff barriers, and enhance market access for Indian goods, especially textiles. This project examines the impact of the new trade deal on India's textile exports, focusing on export growth, employment generation, MSME development, industrial expansion, and long-term competitiveness in the global market.

OVERVIEW OF INDIA'S TEXTILE INDUSTRY

The textile and apparel industry is one of the oldest and most important sectors of the Indian economy. It plays a crucial role in economic development due to its strong linkages with agriculture, large-scale employment generation, export contribution, and industrial growth.

1. Economic Contribution

The textile and apparel sector contributes around **2.3%** to India's GDP, **13% to** industrial production, and **12%** to total exports, making it a key source of foreign exchange. In FY24, exports were about **USD 35.9 billion**, with a **7% growth** reported between April–December 2024. Apparel forms **42% of** exports, followed by raw/semi-finished goods (34%) and non-apparel products (30%), with major markets in the US, EU, and UAE. India is the **6th largest** global exporter (3.9% share) and has the **2nd largest** textile manufacturing capacity. The domestic market is projected to grow from **USD 174 billion to USD 350 billion by 2030**, with GDP contribution expected to rise to **5%.**

2. Employment Generation

The textile industry is the **2nd largest employer** after agriculture, providing direct employment to over **45 million people**. It also generates substantial indirect employment across the supply chain. A large share of the workforce consists of women and rural workers, highlighting the sector's inclusive nature. Nearly **80%** of the industry's capacity is concentrated in Micro, Small and Medium Enterprises (MSME) clusters, supporting decentralized industrial development and regional economic growth.

3. Rural Development and Agricultural Linkages

The handloom and handicraft segments provide livelihood opportunities to artisans and weavers in rural and semi-urban areas, promoting inclusive growth and poverty reduction. The industry aligns with national initiatives such as **Make in India** and **Skill India**.

The sector has strong backward linkages with agriculture. India is the **2nd largest producer** of cotton globally, contributing around **23.83%** of world cotton production, with output expected to reach **7.2 million tonnes** by 2030. It is also the **largest producer** of jute and the **2nd largest producer** of man-made fibres (MMF).

COMPARATIVE ADVANTAGE

Key Factors Supporting India's Comparative Advantage in the Textile Sector

- **Abundant availability of raw materials** such as cotton, wool, silk, and jute provides India with a strong natural resource base, ensuring continuous supply of essential inputs at relatively lower cost. This reduces import dependence, stabilizes production, and enhances cost efficiency, thereby strengthening export competitiveness.

- **India enjoys a comparative advantage in terms of skilled manpower and cost-effective production** relative to other major textile-producing nations. The availability of a large pool of semi-skilled and skilled labour enables labour-intensive production at lower wages, leading to competitive pricing, higher employment generation, and improved export performance.

- **It opens transformative opportunities** for the textiles, leather, and footwear sectors, enhancing India's competitiveness, global visibility, and market access in the UK. This highlights the role of strategic trade agreements in expanding export potential and strengthening global integration.

- The signing of the India–European Union (EU) Free Trade Agreement in 2026 is expected to further strengthen India's textile exports by **eliminating tariffs, reducing non-tariff barriers, and improving market access**. This will significantly enhance India's price competitiveness and export volumes in the European market.

- **Well-developed textile clusters and integrated production chains** across states such as Gujarat, Tamil Nadu, Maharashtra, Punjab, and Uttar Pradesh allow economies of scale, technological efficiency, and faster production cycles, thereby reinforcing India's comparative advantage in global textile trade.

IMPORTANCE OF TEXTILE EXPORTS IN INDIA



1. Foreign Exchange Earnings

The textile and apparel sector is one of **India's largest export-earning industries**, contributing substantially to the country's foreign exchange reserves. In recent years, India's textile and apparel exports have remained in the range of USD 35–45 billion annually, accounting for nearly 10–12% of India's total merchandise exports.

Textile exports include cotton yarn, fabrics, garments, home textiles, carpets, and technical textiles. Major export destinations include the European Union, United States, United Kingdom, United Arab Emirates, and Bangladesh.

2. Employment Generation

The textile industry is the **2nd largest employer in India after agriculture**, providing direct employment to over **45 million people** and indirect employment to nearly **100 million individuals**. Its labour-intensive nature makes it a powerful instrument for job creation, especially for women, rural workers, and semi-skilled labour. The apparel and handloom segments are particularly employment-intensive, offering opportunities to:

- Women workers
- Rural artisans

- Weavers
- Tailors
- Small-scale entrepreneurs

The sector plays a key role in **reducing poverty, empowering women, and promoting inclusive growth**. Expansion of exports due to trade agreements like the India–EU FTA is expected to **further boost employment levels**, particularly in garment manufacturing hubs such as Tiruppur, Surat, Ludhiana, Panipat, and Varanasi.

3. Rural Development

A distinctive feature of India's textile industry is its **strong rural and semi-urban presence**. A large proportion of textile activities, especially handloom weaving, spinning, embroidery, dyeing, and handicrafts, are located in **villages and small towns**.
This contributes to:

- Income generation in rural areas
- Reduction in rural–urban migration
- Promotion of traditional skills and crafts
- Development of village-based industries

Government schemes such as **the National Handloom Development Programme, PM MITRA Parks, and Skill India Mission** aim to strengthen rural textile clusters and enhance productivity. Increased textile exports generate higher rural incomes and support **sustainable rural development**.

4. Growth of MSMEs

The textile sector is **dominated by MSMEs**, which account for nearly **80%** of textile units in India. These small and medium firms operate across spinning, weaving, processing, garment manufacturing, and handicrafts.
The MSME-based structure ensures:

- Entrepreneurial development
- Low capital requirement
- Flexible production
- Regional industrial dispersal

Export growth, especially to the EU under preferential trade terms, offers new market opportunities for MSMEs, enabling them to scale operations, adopt modern technology, and improve product quality. The government supports MSMEs through credit schemes, technology upgradation funds, export incentives, and cluster development programs.

EUROPEAN UNION AS A TRADING PARTNER

The European Union (EU), comprising **27 member countries**, represents one of the largest, richest, and most integrated economic blocs in the world. With a combined GDP of over **USD 18 trillion** and a population exceeding **450 million**, the EU is a dominant force in global trade. It accounts for nearly **15% of total world merchandise trade**, making it a highly significant trading partner for both developed and developing economies.

For India, the European Union has consistently remained one of its most important and stable trading partners, particularly in sectors such as textiles and apparel, pharmaceuticals, engineering goods, chemicals, leather products, and information technology services. The EU's large consumer base, high purchasing power, and preference for quality products make it a strategic export destination for Indian industries.

India–EU Trade Overview

The bilateral trade relationship between India and the European Union has expanded significantly over the past two decades. In **2023–24**, total trade in goods between India and the EU stood at approximately **USD 135–140 billion**, making the EU **India's largest trading partner in goods**. The EU accounted for nearly **17% of India's total merchandise exports**, highlighting its critical importance in India's export strategy.



EU as a Major Market for Indian Textiles

The European Union is one of the largest global importers of textiles and apparel, with annual imports exceeding **USD 250 billion.** India holds a significant share of the EU's textile imports, particularly in cotton garments, home textiles, carpets, and handloom products.

In **2023–24**, India's textile and apparel exports to the EU were valued at approximately **USD 9–10 billion**, accounting for nearly **25% of India's total textile exports**. Key importing countries within the EU include **Germany, France, Italy, Spain, and the Netherlands**.

The EU market is especially important due to:

- High demand for sustainable and eco-friendly textiles
- Preference for ethical sourcing and labour compliance
- Growing consumption of organic cotton and handloom products

Indian exporters benefit from this demand by supplying high-quality, competitively priced, and ethically produced textile goods.

INDIA-EU FREE TRADE AGREEMENT



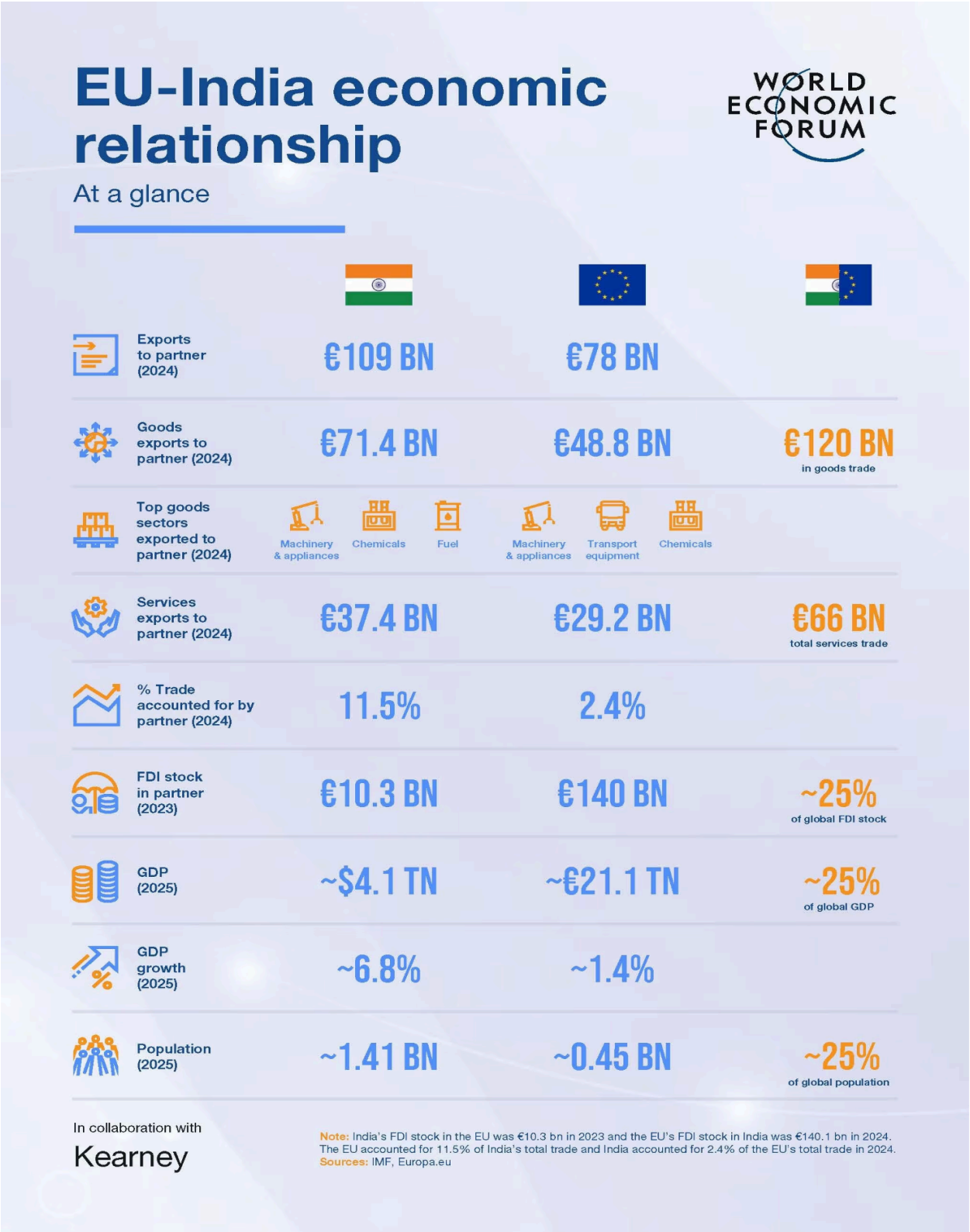
India and the European Union are set to conclude a landmark free trade agreement after nearly two decades of negotiations, a pact leader on both sides have described as the **“Mother of all Deals.”** The announcement at the India-EU summit in New Delhi will bring together the world’s two largest economic blocs, creating a market of around two billion consumers and strengthening trade ties that accounted for US$136.5 billion in goods in 2024-25.

Under the proposed agreement, tariffs on a wide range of goods will be reduced or eliminated, opening significant opportunities for India’s labour-intensive sectors including textiles and apparel, leather, engineering goods and processed foods. Indian textile exports to the EU currently face tariff barriers of roughly 10-16%, placing them at a disadvantage compared to competitors enjoying preferential access. Industry stakeholders and trade bodies have called for zero duty access for cotton textiles and garments to improve competitiveness.

The deal also aims to reduce import duties on European goods such as automobiles, machinery and wines, expanding market access for EU producers. Economic analysts expect the pact to boost bilateral trade further, helping Indian exporters offset recent tariff pressures from the United States and diversify export destinations. Ratification by Indian and EU legislative bodies is expected to take around a year before implementation begins.

KEY HIGHLIGHTS OF THE INDIA-EU FREE TRADE AGREEMENT

Category	European Union Commitments	India's Commitments
Tariff Liberalisation	Opened 97% of tariff lines (covering 99.5% of India's export value).	Opened 92.1% of tariff lines (covering 97.5% of EU export value).
Key Goods Sectors	Zero duty on labour-intensive sectors (textiles, leather, gems, toys, etc.) previously taxed at 4–26%.	Gradual liberalisation for automobiles, wines, and spirits; protections for dairy, poultry, and cereals.
Services Sector	Binding commitments across 144 subsectors (IT, digital, professional, and education).	Opened 102 subsectors (telecom, financial, maritime, and environmental).
Agriculture	Preferential access for Indian agri-exports to boost farmer incomes and rural livelihoods.	Critical sectors like dairy, soy, and poultry remain protected to shield domestic farmers.



https://www.weforum.org/stories/2026/02/india-eu-mother-of-all-trade-deals-what-to-know/

SIGNIFICANCE OF THE INDIA-EU FREE TRADE AGREEMENT

- **Geoeconomic Diversification**

  The FTA advances the **China-plus-one strategy** by positioning India as a trusted manufacturing and services alternative for the EU. In a global order where trade and technology are increasingly weaponized through sanctions and export controls, the agreement creates a rules-based **“zone of trust”** between two democratic blocs, especially for sensitive sectors.

- **Increased Indian competitiveness**

  To access the EU market, Indian manufacturing will undergo a quality overhaul (Sanitary and Phytosanitary measures, technical standards). This "**standards upgrade**" (Brussels Effect) will make Indian goods globally competitive, not just in Europe but in US and Japanese markets as well.

- **Strategic Leverage**

  The FTA connects India, the world's fourth-largest economy, with the EU, the second-largest, together representing **25% of global GDP** and **one-third of** global trade. This creates a massive economic bloc, offering India strategic weight and deep integration with a leading technology superpower.

- **Green and Digital Modernization Engine**

  The FTA focuses on **digital trade** rules and green transition, aiming to boost India's digital economy through secure data flows and AI-driven green industrial development.

- **Supply Chain Resilience and De-risking**

  The India–EU FTA strengthens supply chain resilience by reducing overdependence on single-country sourcing, particularly from China, in critical sectors like pharmaceuticals, electronics, and rare earths. By integrating India into European value chains, the agreement enables diversification of production bases and ensures continuity during geopolitical disruptions.

SECTOR-WISE IMPACTS OF THE INDIA-EU FTA

Sectors	Pre-FTA Tariff	Post-FTA Tariff	Key Benefits
Gems and Jewelry	Upto 4%	Zero Duty	Higher EU Demand
Engineering Goods	10-14%	Reduced / Zero	Better Global Competitiveness
Textile and Apparel	Upto 12%	Zero Duty	Boost to Manufacturing Hubs
Auto and Auto Components	8-15%	Gradual Reduction	Export Expansion
Chemicals and Plastics	Upto 12-13%	Zero Duty	Cost Advantage

- Textiles, leather, footwear, sports goods, and other labour-intensive industries will gain competitiveness in the EU market; this would generate local employment and increase margins for these industries.
- Gems and jewelry products will become cheaper due to tariff elimination in the EU markets. This will provide a stronger foothold in high-value export segments.
- Chemical & pharma industries will gain from increased exports and strengthen the Indian MSMEs when tariffs are removed up to 12.8%.
- Indian handcrafted furniture is also supported in this agreement by lowering tariffs up to 10.5%; this would improve India's role in the furniture supply chain.

A TRANSFORMATIONAL OPPORTUNITY FOR INDIA'S TEXTILES

The conclusion of the India–European Union Free Trade Agreement (FTA) marks a significant inflection point in India's long-term trade and industrial strategy. After nearly two decades of negotiations—beginning in 2007, stalling in 2013, resuming in 2021, and concluding in 2026—the agreement establishes a **comprehensive and rules-based** economic partnership between two large and complementary economies.

The implications of the FTA extend far beyond mere tariff liberalisation. As the European Union is the world's largest importer of textiles and apparel, with annual imports of approximately **USD 263–268 billion**, it represents a highly lucrative and sophisticated consumer market. Despite India's strong production base, skilled workforce, and abundant raw materials, its current share in the EU textile market remains around **5%**, indicating substantial untapped potential. This gap has largely been due to high import tariffs (ranging from **8–12%**) and the absence of preferential access, which placed India at a competitive disadvantage compared to countries such as Bangladesh and Vietnam.

The India–EU FTA addresses these structural constraints by providing near-zero or zero-duty access across the textile and apparel value chain, thereby enhancing the price competitiveness of Indian exports and creating a level playing field in the EU market. As a result, **India's textile exports to the EU**—currently estimated at USD **7–10 billion**—are expected to witness a significant surge, potentially reaching USD 30–40 billion in the long run. This reflects not just incremental growth, but a **structural shift** in trade patterns and global positioning. Furthermore, the agreement is likely to generate widespread economic benefits, including increased employment opportunities, growth of MSMEs and textile clusters, and higher foreign investment in the sector.

IMPACT ON INDIA'S EMPLOYMENT GENERATION

The India–EU Free Trade Agreement (FTA) is expected to have a significant positive impact on employment generation in India's textile and apparel sector, which is one of the largest sources of jobs in the country. As per the PIB and Economic Survey, the textile industry currently employs over **45 million people directly and around 100 million people indirectly**, including workers in handicrafts, logistics, and retail.

1. Expansion of Exports → Increase in Employment

With near-zero tariff access to the European Union market (valued at **USD 263–268 billion**), India's textile exports are expected to rise from **USD 7–10 billion to USD 30–40 billion** in the long run. This increase in demand will boost production across the value chain and significantly raise labour absorption, especially in garment manufacturing. This could generate **up to 7 million additional jobs** in the sector.

2. Boost to MSMEs and Decentralised Employment

The textile sector is dominated by MSMEs, which are major job creators. According to the PIB, textile exports originate from **over 342 districts**, indicating wide employment distribution. The FTA will ensure stable demand and encourage MSME expansion, generating more jobs in **rural and semi-urban areas**.

3. Women Employment and Inclusive Growth

The textile sector employs a **significant proportion of women**, particularly in garments and handicrafts. With export growth, women's workforce participation is expected to increase, providing **income stability and financial independence**. This strengthens **inclusive and gender-balanced economic growth**.

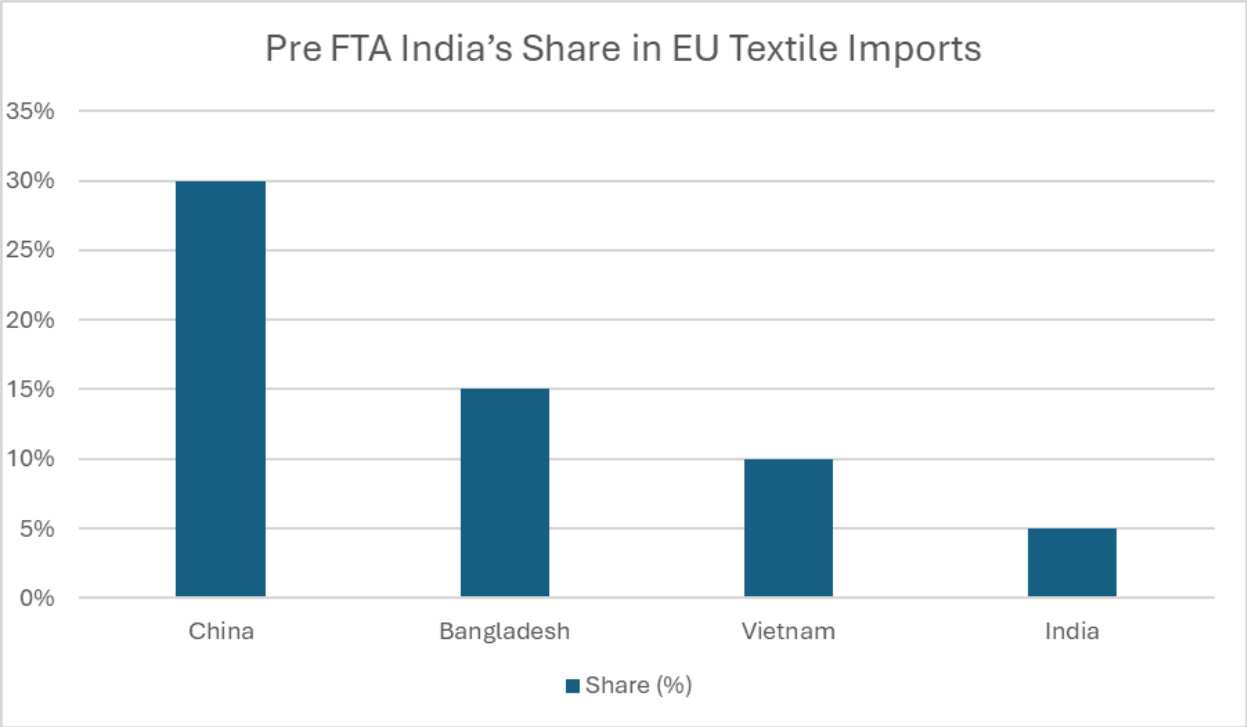
IMPACT ON INDIA's EXPORT GROWTH & MARKET SHARE

One of the most significant impacts of the FTA is the increase in export competitiveness and market share. **Before** the agreement, Indian textile exports faced tariffs of around **10–12%**, while competitors like Bangladesh enjoyed duty-free access, leading to a loss of market share.

With tariffs **reduced to 0%** from an average of 12.8%, Indian products become significantly cheaper in EU markets. Currently, India accounts for only about 3–5% of the EU's textile imports, indicating huge untapped potential.

Post-FTA, India is expected to:

- Increase market share
- Compete effectively with Bangladesh, Vietnam, China
- Expand exports in garments, home textiles, and cotton products



Impact on Global Value Chains (GVCs) of India

1. Expansion of GVC Participation

The India–EU Free Trade Agreement will deepen India's integration into global value chains by linking it with a market of over 400 million consumers. With bilateral trade already around **$130–136 billion**, the agreement will enable India to shift from exporting final goods to participating in multi-stage production networks.

2. China+1 Strategy and Supply Chain Diversification

The FTA strengthens India's position as an alternative to China under the **"China+1"** strategy. It will attract global firms seeking diversified and resilient supply chains, leading to relocation of manufacturing activities.

3. Boost to Value Addition and Manufacturing

Tariff reductions in sectors like textiles, pharmaceuticals, and engineering goods will enhance competitiveness and encourage domestic value addition. For example, access to the EU textile market (over **$260 billion**) can help India move up the value chain from raw materials to high-value finished products.

4. Increase in FDI and Technology Transfer

Stable trade rules and improved market access will **boost foreign direct investment**. Multinational companies are likely to set up production bases in India, facilitate technology transfer.

5. Integration in Services and High-Value Chains: India–EU services trade (about **€59.8 billion**) will expand further, strengthening India's role in IT and professional services value chains. The FTA will also push India towards sustainable and high-value production aligned with EU standards.

EU–India FTA: Influence on Europe's Textile Sector

For Europe's textile and apparel sector, the deal represents a turning point. It promises lower sourcing costs, improved access to one of the world's fastest-growing manufacturing hubs, and stronger industrial cooperation. At the same time, it introduces sharper competition and accelerates **structural changes** already underway across the European textile value chain.

A Strategic Trade Shift for Europe

The agreement removes or reduces tariffs on the majority of goods traded between the EU and India. In textiles, the impact is immediate: duties that previously ranged between **9 and 12 percent** on Indian garments and home textiles will be eliminated.

This single change significantly alters the economics of sourcing for European brands and retailers. India, already a key supplier of cotton-based textiles and garments, now becomes one of the most **cost-competitive origins** for the European market. Beyond tariffs, the agreement improves regulatory cooperation, customs procedures, and long-term market access, making it easier for European companies to integrate Indian suppliers into stable, long-term supply chains.

A Clear Growth Area for Textile Industry in Europe

Textiles are expected to be one of the biggest beneficiaries of the agreement. With **tariff barriers removed**, European importers are likely to increase sourcing volumes significantly.

For retailers, the deal improves pricing stability and product availability. For Indian producers, it offers **long-term access** to one of the **world's most valuable** consumer markets. For European manufacturers, it raises the importance of specialization, branding, and premium positioning.

Technical Textiles: Europe's Strategic Stronghold

While apparel and home textiles face intensifying competition, Europe retains a **strong advantage** in technical and performance textiles. Sectors such as medical textiles, automotive fabrics, protective wear, and industrial applications continue to rely on advanced engineering, strict certification, and high levels of R&D areas where European companies lead globally.

Rather than replacing European production, the FTA is expected to encourage collaboration, with Indian suppliers providing base materials and European firms focusing on **high-value processing** and innovation.

Machinery and Technology: A Major Opportunity for Europe

One of the most positive outcomes of the agreement lies in textile machinery and technology exports.

As Indian manufacturers **expand capacity** and upgrade facilities to meet global standards, demand for European machinery is expected to rise sharply. This includes spinning and weaving equipment, dyeing and finishing systems, digital printing, and sustainability-driven technologies.

For machinery manufacturers in Germany, Italy, and Switzerland, the agreement opens a strong growth window over the next five to ten years, particularly in **energy-efficient** and automated solutions.

IMPACT OF INDIA–EU FTA ON THE EUROPEAN UNION ECONOMY

The India–European Union Free Trade Agreement (FTA) represents a major milestone in the EU's external trade strategy, with far-reaching implications for its economy. As highlighted by the European Commission, the agreement is designed not only to expand trade volumes but also to promote sustainable development, regulatory cooperation, and resilient supply chains. Given that the European Union is one of the world's largest trading blocs, accounting for a significant share of global imports and exports, deeper economic integration with a fast-growing economy like India offers substantial economic benefits.

1. Expansion of Trade and Investment Linkages

The India–European Union Free Trade Agreement (FTA) is expected to significantly **deepen bilateral trade** and investment relations, strengthening economic integration between the two regions. The following key data points highlight its strategic importance:

- **EU–India Trade Volume: Over €180 billion annually**
  This reflects the already strong economic relationship between India and the EU. The FTA builds upon this existing base, aiming to further expand trade flows and enhance economic cooperation across sectors, especially textiles and manufacturing.
- **Expected Increase in EU Goods Exports: +107.6% by 2032**
  The agreement is projected to more than double EU exports to India over the next decade. This growth will be driven by improved market access, reduced tariffs, and increased competitiveness of European products in the Indian market.

- **Annual Tariff Savings: Around €4 billion for EU exporters**
  With the reduction and elimination of tariffs, EU firms will **save** significantly on **export costs.** These savings can be reinvested into expanding production, improving quality, or lowering prices, thereby increasing overall trade efficiency.
- **Tariff Liberalisation: About 90% of tariffs reduced or eliminated**
  A large proportion of goods traded between India and the EU will face minimal or zero tariffs. This will reduce trade barriers, encourage higher trade volumes, and promote smoother integration into global value chains.

Overall, these developments are expected to not only boost trade volumes but also **strengthen investment flows**, industrial linkages, and long-term economic cooperation, making the India–EU partnership more dynamic and mutually beneficial.

2. Promotion of Sustainable and Ethical Trade

A distinctive feature of the India–EU FTA, as emphasized by the European Commission, is its focus on sustainability and responsible trade practices. The agreement includes provisions related to environmental protection, labour standards, and sustainable development.

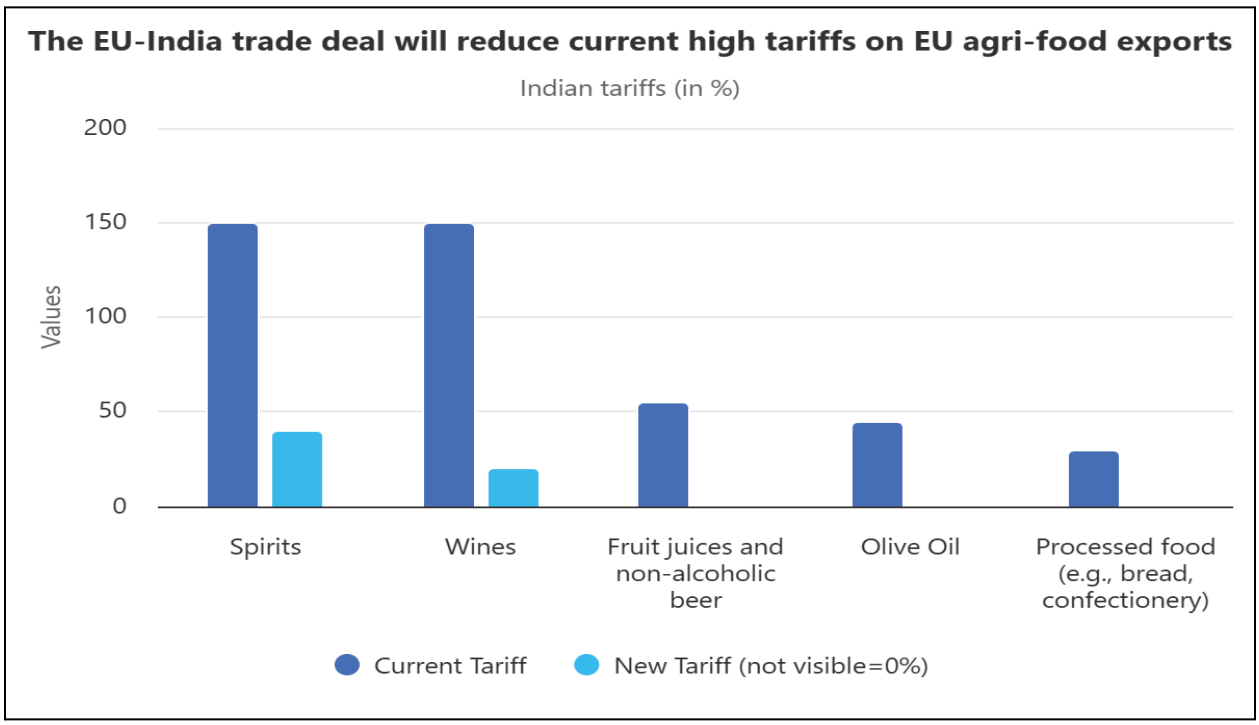
The EU has stringent regulations regarding:

- Environmental sustainability
- Labour rights
- Ethical sourcing

India's textile sector is increasingly aligning with these standards by adopting **eco-friendly production methods**, using organic materials, and ensuring compliance with labour norms. This alignment enables the EU to source products that meet its regulatory requirements while also promoting global sustainability goals.

For the EU, this means that increased imports from India do not come at the cost of environmental or social standards. Instead, the FTA supports the transition towards a more sustainable and responsible global trade system.

3. Benefits of EU Farmers



https://commission.europa.eu/topics/trade/eu-india-trade-agreement_en

The agreement will also protect Europe's sensitive sectors. The EU will

- maintain its current tariffs on sensitive products such as beef, sugar, rice, chicken meat, milk powders, honey, bananas, soft wheat, garlic, and ethanol
- allow limited imports of products such as sheep and goat meat, sweetcorn, grapes, cucumbers, dried onions, rum made of molasses, and starches

A bilateral safeguard mechanism will allow action to be taken should imports cause any difficulties.

CONCLUSION

The India–EU Free Trade Agreement (FTA) marks a transformative milestone in strengthening bilateral trade relations and unlocking the full potential of India's textile sector. The study highlights that the textile and apparel industry remains a cornerstone of India's economy, contributing significantly to GDP, exports, employment, and rural development, with over **45 million** people directly employed and a strong MSME base.

The European Union, being one of the largest and most lucrative textile markets in the world, plays a crucial role in India's export strategy. However, prior to the FTA, tariff barriers of **8–12%** limited India's competitiveness compared to countries like Bangladesh and Vietnam. The agreement addresses this gap by providing near-zero or **zero-duty access**, thereby enhancing price competitiveness and market access for Indian exporters.

The project finds that the FTA is expected to significantly boost India's textile exports—from the current **USD 7–10 billion** to potentially **USD 30–40 billion** in the long run—while increasing India's market share in the EU. This export expansion will have strong multiplier effects, including employment generation (up to **7 million additional jobs**), MSME growth, increased participation of women in the workforce, and higher rural incomes.

Furthermore, the agreement strengthens India's integration into global value chains, supports the **China+1 strategy**, and promotes foreign investment, technology transfer, and value addition.

From a broader perspective, the FTA benefits both economies by enhancing trade volumes, ensuring supply chain resilience, promoting sustainable and ethical trade practices, and deepening economic cooperation.

APPENDIX

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